Hong Kong Institute of
Certified Public Accountants
香港會計師公會

Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting
(December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question related to a group of companies engaging in research and development. In addition to assessing candidates' knowledge of group accounting issues that are very typical in Section A of this module, this case study required candidates to demonstrate logical thinking and analytical skills towards practical accounting scenarios such as revenue recognition (in Question 2), convertible instruments (in Question 4) and how non-financial information supplements traditional financial reporting (in Question 3). Candidates are expected to explain logically, based on the relevant financial reporting standard(s) and the fact patterns in the case scenario. In this examination session, candidates' performance in Section A varied. Some candidates were able to provide very good answers to the questions while other candidates did not even attempt to answer the questions.

Specific Comments

Question 1(a) – 10 marks

This question required candidates to explain the accounting treatments in a business combination with reference to HKFRS 3 *Business Combinations*.

Part (i) required candidates to explain how to determine the fair value of net identifiable assets of the acquiree, taking into consideration an ongoing research project of the acquiree. Many candidates could demonstrate the flow of the analysis and highlight the significance of the identifiability test in recognising an intangible asset in a business combination. However, it was noted that many candidates directly copied the answers from past examination sessions, indicating that they had lacked adaquete understanding of the question. For example, in the past examination session, the key issue was whether an internally-generated brand name could be recognised in a business combination. Candidates copied the reason from the past examination session explaining why internally-generated brand name could not be recognised in the financial statements of the acquiree in the answers of this examination session. Candidates should note that the reason as to why a research project cannot be recognised as an intangible asset is technically different from that of an internally-generated brand name. Candidates are strongly advised to analyse the specific circumstances in the case scenario instead of simply copying directly from available resources.

Further, some candidates demonstrated weak understanding of the accounting treatment of a research project, despite the question stating explicitly that the costs of the research project were expensed as incurred. Some candidates did not understand that such costs were not recognised as an asset in the financial statements of the acquiree and mistakenly treated only the difference of the fair value of the research project as at the acquisition date and the accumulated expenditure of the project as a fair value adjustment in the business combination.

Part (ii) required candidates to determine the consideration in the business combination, taking into consideration the reimbursement of acquisition-related costs paid on behalf of the acquirer. Candidates in general could arrive at the correct conclusion. However, very few candidates could explain the reason why such reimbursement should be deducted from the consideration.

<u>Question 1(b) – 14 marks</u>

This question assessed candidates' knowledge in HKFRS 10 *Consolidated Financial Statements* and HKAS 21 *The Effects of Changes in Foreign Exchange Rates*. It required candidates to perform a consolidation of a foreign subsidiary, including the translation of the financial statements of the foreign subsidiary in question to come up with the goodwill, translation reserve, and non-controlling interest balances. This consolidation exercise was quite straightforward. A simple and logical way in tackling this question is to prepare the relevant consolidation adjustment journal entries; however, candidates' performance varied significantly. Some candidates could present their answers logically through a step-by-step approach in determining the three required balances; however, other candidates did not even attempt this question.

In general, candidates could demonstrate understanding of how to translate the financial statements of a foreign operation by applying the appropriate exchange rates provided in the question. However, some candidates made mistakes with regards to fundamental knowledge such as including the full-year financial results in the consolidation of which the acquisition occurred in mid-year and determining the goodwill balance only in foreign currency while the consolidated financial statements were to be presented in the functional currency of the group. Quite a number of candidates ignored the translation of the research project recognised as an intangible asset in the business combination.

Question 2 – 13 marks

This question required candidates to apply part of the five-step revenue recognition model in HKFRS 15 *Revenue from Contracts with Customers* to the case scenario.

Part (a) required candidates to advise whether a contract existed upon signing a framework agreement for two items included in the agreement. Candidates could generally refer to the five conditions indicating the existence of a contract in HKFRS 15; however, candidates were relatively weak in fully utilising the facts in the case background as supporting evidence. For example, the case scenario provided information regarding the payment history of the customer. However, candidates failed to use this fact to support the argument in relation to probable collection of consideration. Instead, candidates just copied the condition again to draw their conclusion. This was not a good demonstration of critical analysis.

Another significant weakness related to examination techniques. The question explicitly required candidates to advise, structured as sub-parts (i) and (ii), whether a contract existed for two separate items in the agreement. While the five conditions in relation to the existence of a contract in HKFRS 15 were generally applicable to both items in the agreement, candidates should separate their answers to address the two issues after extracting the relevant principles from HKFRS 15. Some candidates simply answered whether a contract existed in the framework agreement combining the two items. As the discussions for the two items were not the same, candidates lost quite a number of marks in doing so.

Part (b) required candidates to advise whether the two promises should be separate performance obligations, which is very typical in examinations. Candidates could demonstrate awareness of the two conditions in analysing whether the good or service was distinct or not. However, candidates performed poorly in explaining the two conditions. Many candidates ignored the analysis of the first condition, which related to whether the customer could benefit from the good or service on its own. In the second condition, which related to whether the entity's promise was separately identifiable from other promises, candidates failed to appreciate the importance of the wordings in the accounting standard. For example, some candidates wrote "dependent" instead of the exact wording "highly interdependent" and "separate" instead of the exact wording "separately identifiable" in their explanations. Further, other candidates could not differentiate the two conditions and used the wrong facts to support their arguments.

Question 2 also assessed candidates' core enabling competencies, which is a key feature in the New Qualification Programme. Specifically, it assessed candidates' analytical skills. In general, candidates' performance was average when analysing the accounting issues.

It was very good to see that candidates drafted their answers starting with the relevant requirements in the financial reporting standards (such as the conditions for the existence of a contract and how to demonstrate a good or service is distinct). Candidates tried to use the facts in the case as evidence to support their arguments and to draw conclusions. Those who performed well were able to fully utilise the facts in the case background to perform a step-by-step analysis. Others, however, either could not fully use the facts to support their arguments or extracted irrelevant facts in their answers. Candidates are reminded that such critical thinking processes are crucial in analysing most of the accounting issues. As highlighted in one of the previous Examination Panelists' Reports, candidates should ensure that they understand the requirements in the financial reporting standards and the fact patterns carefully before attempting to analyse the accounting implications in the given scenario.

Question 3 – 4 marks

This question required candidates to explain how integrated reporting could supplement traditional financial reporting using research and development activities as an illustration.

Candidates could highlight the six capitals in integrated thinking and some could conclude that intellectual capital was relevant in this case. However, most candidates could not explain why traditional financial reporting might not be able to capture the value of an entity by linking it to the recognition criteria of research projects in HKAS 38 *Intangible Assets*. Candidates are advised to ensure that they fully appreciate the interaction between financial and non-financial information in corporate reporting.

As highlighted in the previous Examination Panelists' Report, candidates in Module 11 are expected be equipped with the knowledge on how sustainability-related and non-financial issues are disclosed in corporate reports. Candidates should be aware of the disclosure requirements under the ESG Reporting Guide within the listing rules of the Hong Kong Stock Exchange, the International Integrated Reporting (<IR>) Framework, and the global sustainability disclosure standards issued by the International Sustainability Standards Board (which will be included in the syllabus of Module 11 later).

Question 4 – 9 marks

This question required candidates to apply knowledge in relation to a convertible instrument with reference to HKFRS 9 *Financial Instruments* and HKAS 32 *Financial Instruments: Presentation*.

The question did not provide sufficient information to draw a conclusion and explicitly required candidates to suggest additional information which may yield a different conclusion. This was not the first time such "open-ended" question appeared in Module 11 under the new Qualification Programme. However, performance varied significantly. Some candidates identified the key issue in this case and drafted their answers in correct direction. Some outstanding candidates could even go beyond to discuss the accounting treatments of compound instrument and hybrid instrument correctly and highlight the key differences. However, other candidates simply copied the accounting treatments of compound instruments as well as "split accounting", which implied that the convertible bond in question could already be concluded to be a compound instrument. This type of answer did not properly address the issue in question and could not yield a satisfactory result.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen or emerging in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards that could be relevant. However, many candidates struggled when it came to applying specific details in the standards. This led to superficial answers or even incorrect conclusions.

Candidates who scored high marks were able to present their answers logically and succinctly in response to what was required, with their answers being supported with precision from the relevant financial reporting standards requirements.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 5(a) – 9 marks

This question required candidates to discuss the accounting treatment of revaluation surplus, depreciation and impairment of investment properties under fair value model and items of property, plant and equipment ("PPE") that are under revaluation model.

Many candidates that managed to identify all of the areas of concern were able to score reasonably high marks, although it appears candidates are less familiar with the accounting treatment of revaluation surplus arising from the remeasurement of PPE under revaluation model.

The concepts covered are relatively basic and many candidates were able to provide reasonable responses, although the discussion could have been more structured, especially when there are a number of discussion points for each type of asset. It would also be helpful if candidates can specify which assertion they agree or disagree with, and to make sure their arguments align with the ultimate conclusion.

The performance on this question was satisfactory.

Question 5(b) – 6 marks

This question required candidates to determine whether investment properties should be grouped under Level 1 in the fair value hierarchy disclosure.

Many candidates were able to state the definition of each level. However, when it comes to applying the concepts to the specific case, it appears some candidates mistakenly assumed that the price of investment properties are unadjusted quoted price in active markets for identical assets, when in reality no properties are identical.

Most candidates were able to identify that Level 1 does not apply, but they immediately jumped to the conclusion that Level 2 would then be applicable and forget about Level 3, which is the more appropriate answer. Quite a number of candidates went on to discuss "highest and best use" which is not directly related to what was being asked in the question.

The performance on this question was less than satisfactory.

Question 5(c) – 3 marks

This question required candidates to discuss the impact on earnings per share ("EPS") when a share split occurs after the year end but before the financial statements are authorised for issue. Even though the question is not new, not many candidates were able to identify the relevant requirements under para. 64 of HKAS 33 *Earnings Per Share.* Instead, most candidates simply referred to HKAS 10 *Events after the Reporting Period* and thus arrived at an incorrect conclusion.

The performance on this question was poor.

Question 6(a) – 15 marks

This question required candidates to analyse whether there is a lease per HKFRS 16 ("HKFRS 16") *Leases* under three different arrangements.

Candidates that managed to score high marks were able to succinctly identify the issue, apply the relevant definitions and concepts from the standard to arrive at logical conclusions. These candidates also used good structure and appropriate format in their communication.

Candidates should note that for the purposes of determining whether a lease exists, as part of the determination of whether the entity has control over an asset, they need to consider whether the entity obtains substantially all of the economic benefits with reference to the period of use, as opposed to the useful/economic life of the asset.

In analysing whether there is a lease, some candidates mixed up the concept of "identified asset" under HKFRS 16 for the purposes of determining where there is a lease vs. an asset being identifiable.

Not many candidates were aware that the spaces for short-term events contained a lease, even though Sophia Limited could apply short-term lease exemption in terms of accounting treatment.

It was also noted that some candidates mistook the perspective of the question and answered from the perspective of the service provider.

In terms of structure, some candidates jumped back and forth between the three scenarios in discussing whether there is a lease. For example, sometimes one comment could potentially be applicable to more than one arrangement while candidates mixed together the comments on the accounting treatments without much structure. To ensure each scenario/issue is well covered to score the marks available, candidates are advised to set up a framework for their answer (e.g. which item they are going to focus on, what issue(s) are they going to address for that item, what are the supporting arguments for or against a proposed treatment, what conclusion they have for that particular item etc.). Finally, some candidates were still applying the superseded lease accounting standard.

The performance on this question was fair.

Question 6(b) – 6 marks

This question required candidates to express a view towards management's comment and to describe the accounting treatment applicable to the considerations paid under each of the three scenarios.

Generally, candidates were able to provide reasonable answers but some went beyond what was asked and elaborated at length on lease accounting, including some form of calculations and journal entries on top of narratives for a question that only awards a maximum of 6 marks.

Many candidates were not aware of the short-term lease exemption being available and that the reporting entity has a choice to apply.

Quite a large number of candidates used the term "basic model" to describe the corresponding accounting treatments, which does not help markers to discern what they meant under the context of the different scenarios.

The performance on this question was fair.

Question 7(a) – 5 marks

This question required candidates to analyse the ethical issues involved in a case. Many candidates correctly identified the principles/threats from the Code of Ethics and copied at length the various definitions. But in order to score higher, candidates are reminded that they need to further elaborate how those principles/threats relate to the case in the question as if they are explaining to a person sitting in front of them.

Further, although the question asked about the issues faced by Ari, a number of candidates focused on discussing Jin in their answers.

Performance was less than satisfactory.

Question 7(b) – 6 marks

This question required candidates to identify the chief operating decision maker ("CODM") in order to determine whether the entity needs to modify their existing operating segment disclosures. The question is very straight forward so long as candidates understand the key of determining operating segment is the identification of CODM.

Many candidates copied the definitions but were not able to identify that Jin is the CODM. Quite a large number of candidates diverged to talk about reportable segments and aggregation of operating segments which would not be relevant.

Performance on this question was poor.

(III) Conclusion and Recommendation

Module 11 focusses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgement in evaluating accounting issues to provide advice on the most appropriate treatment. While the past examination questions can be one of the learning resources to guide candidates in the thinking process, candidates should exercise judgement as to what extent they could refer to such learning resources in the case scenario during the examination. Candidates are also suggested to further polish their analytical skills to identify the correct issue(s) in a case setting, understand clearly the financial reporting requirements in the accounting standards, utilise fully and appropriately the fact patterns provided in the case, and make conclusion accordingly. This will be the approach assessed in the case study in Module 11 examinations.

Candidates are not expected to be able to recite everything from the financial reporting standards, but they are at least expected to be able to recall which standard(s) they should apply when particular situations arise.

It is important for candidates to be able to apply their knowledge of the standards to live cases, evaluate the possible answers in view of the standards' requirements, and to draw logical conclusions based on the discussion. This is fundamental not only for Module 11 exams but also throughout candidates' career.

It is also important for candidates to demonstrate their communication skills (which is indicative of their thinking skills) and set out their arguments in a well-structured flow.

Finally, candidates are reminded to be discerning when they extract the relevant technical requirements to support their answers and to refrain from directly copying or pasting from the learning packs or past papers.